

Commercial Property – Underwriting Submission

Manufacturing Facility

Broker Name: James Carter

Organization Name: Armstrong and Company

Producer Code: 100-002541

Underwriting Company: Acme Low Hazard Insurance

Name And Mailing Address: 450 Industrial Parkway, Austin, Texas 78744, USA

Organization Type: LLC

Program Structure & Requested Terms

- **Line of Business:** Commercial Property
- **Total Insured Value (TIV):** \$150,000,000
- **Effective Date:** 01/03/2026
- **Expiration Date:** 01/03/2027
- **Term Type:** Annual
- **Limit of Liability:** \$10,000,000
- **Layer:** Primary
- **Valuation:** Replacement Cost
- **Coverage Currency:** USD
- **Settlement Currency:** USD

Property Description: The property is a 200,000 sq ft advanced electronics manufacturing facility built in 2015, situated on a secure 12-acre industrial campus. It features a steel-frame structure with insulated metal panel exterior walls, reinforced concrete flooring, and an upgraded insulated metal roof system completed in 2021. The site includes loading docks, truck lanes, and controlled-entry perimeter fencing designed to support continuous high-volume production flows. Interior spaces include precision-controlled assembly areas, testing labs, equipment bays, and administrative offices.

Coverage Summary:

The proposed coverage structure is aligned with the facility's asset distribution and operational dependencies, ensuring that both the building and critical machinery are adequately protected.

The majority of the Total Insured Value is concentrated in the buildings and structural improvements at \$120,000,000, reflecting the significance of the physical plant to ongoing production. Replacement Cost valuation is appropriate given the modern construction features, including the steel-frame design, reinforced concrete slab, and upgraded insulated metal roof system. These characteristics support a coverage approach that prioritizes rapid rebuilding capability in the event of a major loss, limiting time-element exposure and reducing the likelihood of prolonged operational disruption. Additional coverages should reflect the site’s reliance on specialized machinery and precision-controlled production environments, supported by \$30,000,000 in contents, machinery, and equipment values. Critical systems—such as the precision HVAC upgrade from 2021, dual-feed electrical supply with UPS backup, and clean-agent fire suppression systems—further justify equipment breakdown, electrical injury, and service interruption extensions. Given the facility’s continuous production model and sensitivity to time-element losses, business interruption coverage with consideration for extra expense, utility service interruption, and contingent time-element (due to key semiconductor suppliers) is essential to maintain financial resilience after a covered event.

Property Identification

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| <ul style="list-style-type: none">• Named Insured (Company Name):
Orion Electronics Manufacturing Inc. | <ul style="list-style-type: none">• State: Texas |
| <ul style="list-style-type: none">• Address Line 1: 450 Industrial Parkway | <ul style="list-style-type: none">• Zip Code: 78744 |
| <ul style="list-style-type: none">• City: Austin | <ul style="list-style-type: none">• Country: United States |
| <ul style="list-style-type: none">• Property Size: 12 acres | <ul style="list-style-type: none">• Address Type: Business |
| <ul style="list-style-type: none">• Building Area (sq ft): 200000 | <ul style="list-style-type: none">• Major Renovation: 2021 (assembly line modernization, HVAC upgrades) |
| <ul style="list-style-type: none">• Year Constructed: 2015 | <ul style="list-style-type: none">• Number of Floors: 2 |
| <ul style="list-style-type: none">• Class Code: 0414 | <ul style="list-style-type: none">• Number of Production Lines: 5 |

Property Description & Construction

- Primary construction:** steel frame with insulated metal panels
- Floor construction:** reinforced concrete slab
- Roof:** insulated metal roof system (2021 upgrades)
- Basements/lower levels:** none; machine pits present
- Site improvements:** loading docks, truck circulation lanes, secured perimeter fencing

Accessibility: primary truck ingress/egress via Industrial Parkway

Occupancy & Operations

- **Primary use:** high-volume electronics assembly & testing facility
 - **Revenue drivers:** contract manufacturing, OEM component fabrication
 - **Average annual operational capacity:** 82%
 - Seasonal variation: minimal, continuous production cycle
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Insured Values (Summary)

- **Buildings & structural improvements:** \$120,000,000
 - **Contents / machinery & equipment:** \$30,000,000
 - **Total Insured Value (TIV):** \$150,000,000
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Critical Building Systems

- **HVAC:** precision climate control system; 2021 upgrade
 - **Electrical:** dual-feed power supply; backup UPS systems
 - **Emergency power:** diesel generator powering essential production zones
 - **Fire protection:** FM-approved suppression system; clean agent systems in sensitive areas
 - **Plumbing:** industrial-grade water systems for cooling
 - **Elevators:** 1 freight elevator
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Security & Monitoring

- 24/7 on-site security
 - Access control: badge-based access for all employees
 - CCTV: full-facility coverage with monitored control room
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Utilities & Third-party Dependencies

- **Power provider:** Austin Energy
 - **Water & sewer:** municipal
 - **Primary ISP:** TechFiber Communications
 - **Redundant ISP:** LineLayer Networks
 - **Critical suppliers:** semiconductor component suppliers, packaging vendors
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Maintenance, Inspections & Risk Controls

- **Preventive maintenance:** digital CMMS-managed schedule
 - **Life-safety testing:** quarterly system tests
 - **Vendor controls:** mandatory insurance requirements
 - **Business continuity:** full BCP with off-site data replication
 - **Staff training:** machine safety, hazard communication, evacuation drills
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Recent Loss History (Time-Element & Property)

- **2024:** minor electrical room short circuit — downtime 2 days; approx. \$180,000
 - **2023:** forklift collision damaging shelving; approx. \$45,000
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Exposures & Underwriting Considerations

- Time-element sensitivity due to reliance on continuous production
 - Supply chain dependencies for specialized components
 - Utility interruption exposure due to high power demand
 - Fire and equipment breakdown critical exposures
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Broker & Property Contacts

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|---|---|
| <ul style="list-style-type: none">• Broker: James Carter — Senior Commercial Broker, Armstrong and Company | <ul style="list-style-type: none">• Broker Email: j.carter@armcomp.com |
|---|---|

- **Broker Phone:** +1 (555) 781-2203
- **Property Contact:** Laura Chen —
Plant Manager

- **Property Email:**
l.chen@orionelectronics.com
- **Property Phone:** +1 (555) 880-4432

Underwriter Notes

- Notes: _____
- Follow-ups: _____